THE TOOLS OF GEOPOLITICS

Learning Outcome

- describe tools of geopolitics and their impact on regions and economies

Now that we understand the characteristics of geopolitical actors, we can examine the tools these actors use to manifest or reinforce their interests with respect to others. The tools an actor uses are ultimately the source of geopolitical risk as it affects investors—shaping the likelihood of risk as well as the speed and size of impact, as we will explore in Lesson 6. As a result, understanding these tools may be just as important as understanding the motivations for using them.

The Tools of Geopolitics

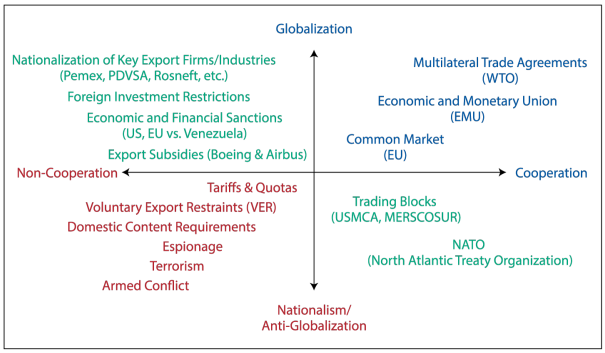
The tools of geopolitics may be separated into three types:

- national security tools,
- economic tools, and
- financial tools.

Among each of these tools, there are choices that reflect or improve cooperation and those that reflect or escalate conflict (non-cooperation). Tools facilitating cooperation are those that increase flows between countries; this can mean an increased flow of goods, services, capital, or labor through treaties, trade agreements, capital provisions, and approved migration. Tools escalating conflict are those that reduce these flows between countries.

We can use the framework provided in the section "Archetypes of Country Behavior" in Lesson 4 to assess the nature of tools used by geopolitical actors and to strengthen our designation of countries within that framework. The extent to which actors use these tools to improve cooperation or escalate conflict influences their position within the framework. As we described earlier, it is important for geopolitical risk analysts to track not only which quadrant best describes an actor but also its stability within that quadrant. Using different national security, economic, or financial tools may indicate that an actor is changing in character, which would increase or decrease geopolitical risk. Exhibit 9 shows how the tools of geopolitics fit in the four archetypes of country behavior (presented in Exhibit 7).

Exhibit 9: Tools of Geopolitics



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National Security Tools

National security tools are those used to influence or coerce a state actor through direct or indirect impact on the country's resources, people, or borders. National security tools may be active, meaning they are being used at the time of analysis, or threatened, meaning they are not currently used but their use is likely enough to warrant concern.

The most extreme example of a national security tool is that of armed conflict. Armed conflict is a direct and active national security tool. It can be internal or external to a country and has two major impacts. The first is the disruption or destruction of physical infrastructure, which can inflict long-term damage on a country's capital stock and ability to rebuild that stock. The second impact is on migration away from areas of armed conflict, which can reshape international flows of goods, services, capital, and labor. It also can affect neighboring countries and states accepting refugees.

Syrian Refugee Crisis (since 2011) and Impacts on Germany

and other structures. As conflict prolonged, more than 6.6 million Syrians have fled the country, with another 6.7 million having been internally displaced. Beyond the tragic human toll of this ongoing conflict, Syria has also experienced negative impact on its current and potential economic growth as a result of the deterioration of its capital and labor stock. According to the International Monetary Fund (IMF), Syria's economy grew by 4.5 percent, on average, from 2000 to 2010. By 2016, the Syrian economy was less than half its size before the war. In investment terms, these developments have contributed to a sustained higher discount rate and lower bond and equity returns.

The majority of refugees have found refuge in neighboring countries, such as Turkey, Lebanon, and Jordan. However, many also made their way, often by dangerous routes, to European countries. The refugee crisis attracted significant international attention in 2015 when German Chancellor Angela Merkel announced that the country would admit 1 million Syrian refugees. In the short-term, the decision was disruptive to domestic politics and international cooperation as not all citizens and neighboring countries were supportive of the approach. The decision also carried economic costs, including constructing housing and establishing resettlement programs. However, in the long-term, Germany appears to be benefiting from the cooperative decision, having attracted a younger and skilled demographic of migrants thus improving the demographic balance of an otherwise-aging country. The resulting improvements in Germany's labor and capital stock may improve Germany's potential economic growth rate. In investment terms, a higher potential economic growth rate contributes to higher expected market returns, all else equal, and may contribute to industry developments or innovations.

Of course, not all tools are used in so direct a nature as armed conflict. For example, espionage, or the practice of using spies to obtain political or military information, is a necessarily indirect national security tool. Military alliances often are used to aid in direct conflict and also to deter conflict from arising in the first place.

Additionally, not all national security tools are used in a non-cooperative way. State actors can combine forces to reduce the likelihood that national security tools are used. For example, the North Atlantic Treaty Organization (NATO), an alliance between the European Union, United States, United Kingdom, and Canada, is used to discuss and deescalate potential conflict among members and between members and outside states. Originally constructed to provide collective security against the Soviet Union, NATO now serves as a collective effort to reduce nuclear proliferation and other common national security goals.

EXAMPLE 8

Tools of Geopolitics

1. True or false: Although geopolitical financial tools can be used for both cooperative and non-cooperative reasons, national security tools are characteristically non-cooperative. Explain your selection.

   A. True
   B. False

   Hide Solution

   Solution:

   B is correct. National security tools are non-cooperative in cases like armed conflict. But collective security agreements, such as NATO, can also be used cooperatively to reduce the possibility of conflict among members and between members and outside states.

   Financial tools may be cooperative in reducing geopolitical risk if they encourage cooperation in security, economic, or financial arenas. They may also tend to non-cooperation by creating vulnerabilities in the international system. US dominance is one such example, both promoting financial activity and making other countries vulnerable to US monetary policy changes.

Economic Tools

Economic tools are the actions used to reinforce cooperative or non-cooperative stances through economic means. Among state actors, economic tools can include multilateral trade agreements, such as the Southern Common Market (MERCOSUR), which facilitates trade among member countries in South America, or the global harmonization of tariff rules, as facilitated by the World Trade Organization (WTO). Highly cooperative economic tools may also include common markets, like the European Union, or a common currency, like the euro.

By contrast, economic tools can also be non-cooperative in nature. Nationalization, the process of transferring an activity or industry from private to state control, is a non-cooperative approach to asserting economic control. Nationalization is most common in sectors perceived as vital to economic security or competitiveness, such as the energy sector. For example, after a period of privatization, Argentina moved in 2012 to renationalize YPF, the nation's largest energy firm. In addition to controlling an important

can impose domestic content requirements, asserting that a certain proportion or type of domestic input be included in an exported good.

Financial Tools

Financial tools are the actions used to reinforce cooperative or non-cooperative stances through financial mechanisms. Examples of cooperative financial tools include the free exchange of currencies across borders and allowing foreign investment. Examples of non-cooperative financial tools include limiting access to local currency markets and restricting foreign investment. Sanctions, described earlier, provide a useful example of countries using financial tools to influence geopolitical outcomes.

Cooperative financial tools may reduce geopolitical risk if they encourage cooperation in security, economic, or financial arenas. However, the same tools may also create vulnerabilities in the international system. The dominance of the US dollar is one such example. The international interbank market, in which banks borrow and lend to one another, hosts transactions heavily denominated in US dollars. The market provides a tool of cooperation, and the free exchange of currency helps facilitate financial activity and cooperation more broadly. That said, the US dollar's importance to exchange also makes other countries vulnerable to changes in US monetary policy. Specifically, tighter US monetary policy can contribute to liquidity shortages in countries that do not or cannot maintain US dollar reserves.

EXAMPLE 9

Financial Tools of Geopolitics

1. Describe the conditions under which cooperative financial tools may decrease geopolitical risk as well as create vulnerabilities in the international system.

Hide Solution

Solution:

Cooperative financial tools may reduce geopolitical risk if they encourage cooperation in security, economic, and financial arenas. However, if the system becomes too dependent on a particular financial tool or if the tool becomes too dominant, it may introduce vulnerabilities in the international system that can have far-reaching implications.

Multifaceted Approaches

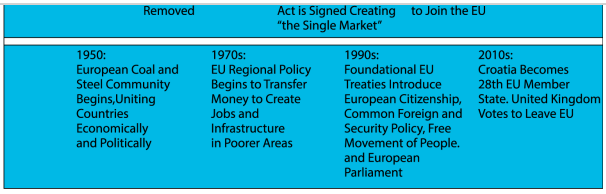
Just as geopolitics is multifaceted and includes many types of actors and features, so too are the tools of geopolitics. Systems of political, economic, and financial cooperation can be, and often are, intertwined. One interesting example is **cabotage**, or the right to transport passengers or goods within a country by a foreign firm. Many countries, including those with multilateral trade agreements, impose restrictions on cabotage across transportation subsectors—meaning that shippers, airlines, and truck drivers are not allowed to transport goods and services within another country's borders. Allowing cabotage requires coordination on areas like physical security and economic coordination, a highly multilateral process.

International organizations may also make use of multiple tools of geopolitics. For example, the Association of Southeast Asian Nations (ASEAN) is composed of 10 members states and seeks to facilitate economic, political, security, military, educational, and cultural integration between its members. The European Union, which began as a six-country economic bloc, has expanded to include 27 member states (as of 2022) and features substantial financial and national security components. Generally, as actors incorporate more tools of collaboration, they are less likely to initiate conflict or use a non-cooperative tool against associated actors.

European Union and Brexit

As shown in Exhibit 10, one of the most pronounced transitions toward multilateral cooperation and globalization is in the European Union (EU). From 1945 until 2016, European countries exhibited fairly steady progress toward political cooperation—via shared security, free movement of goods and people, and harmonization of rules and regulations—and economic and financial globalization. EU member states offer European citizenship and the right for workers and companies from all EU member states to operate within other EU countries. The strongest manifestation of this multilateralism is exhibited in the creation of the common currency for the euro area, a subset of European countries.

Exhibit 10: Timeline: The Path of European Cooperation and Globalization



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In 2016, the European integration process experienced a marked disruption when the United Kingdom voted to exit the EU. Despite the benefits of cooperation and globalization, the costs became increasingly felt, affecting local politics. The United Kingdom's sudden reversal in some of its multilateral momentum was a surprise to many global actors and investors. This geopolitical risk resulted in near-term market volatility, particularly in financial and currency markets. It has also resulted in the dismantling of political cooperation in recent years; the United Kingdom's multilateral approach is, in some areas, shifting toward a bilateral approach.

Geopolitical Risk and Comparative Advantage

The geopolitical tools discussed in this section generate important risks and opportunities for investors, but they do not operate in a vacuum. In fact, geopolitical risk and the tools of geopolitics can shape actors' core priorities. Models of international trade will be explored later in the curriculum. (In this context, we reference them briefly to illustrate how geopolitical tools can shape, destroy, or build upon a country's core approach to other actors.)

In the classic example of international trade, countries are endowed with certain resources, or factors, and technological capabilities. Not every country will be endowed with the same factors and capabilities and thus may benefit from cooperating via trade. For example, Ghana is rich in resources, such as hydrocarbons, gold, agricultural products, and several industrial metals. However, it relies heavily on other countries for both processing and industrial use of those resources. Each country specializes in areas defined by its resources and capabilities and then exchanges with the other in a way that benefits both parties. Through specialization and exchange, industries within each country experience greater economies of scale. Households and firms therefore will have a greater variety of products to choose from. Competition between firms is higher, and resources are allocated more efficiently.

Geopolitical risk and the tools of geopolitics can tilt comparative advantage in one direction or another. For example, countries or regions with limited geopolitical risk exposure may attract more labor and capital. In contrast, those with higher geopolitical risk exposure may suffer a loss of labor and capital. Similarly, a consistent threat of conflict may drive more regular volatility in asset prices, prompting investors to require higher compensation for risk taken (i.e., an increase in the required rate of return or the discount rate used in valuation).

Question Set

1. True or false: Germany's reaction to the Syrian refugee crisis is an example of comparative advantage stemming from geopolitical risk. Explain your selection.

A. True
B. False

Hide Solution

Solution:

A is correct. Countries with a lower geopolitical risk exposure have the ability to attract resources, such as labor and capital. With its strong economic position in the EU and longstanding stability of political leadership, Germany was able to undertake the resettlement of one million Syrian refugees to it while assuming the short-term relocation costs and disruption of its domestic politics. This improves its long-term demographic balance by adding young and talented migrants, with the resulting increase in labor and capital stock potentially increasing Germany's economic growth rate.

2. In the following table, match the geopolitical tool with the *most* appropriate example of each tool.

Geopolitical Tool	Example
1. Financial	A. Nationalization
2. Economic	B. Espionage
3. National security	C. Free exchange of currency across borders

Hide Solution

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Option 2 (Economic) matches with A (Nationalization).

Option 3 (National security) matches with B (Espionage).

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